

2:00 PM

LINE: 9

25-CIV-04197

HAB SIAM VS. BRAD GERSTNER, ET AL

**HAB SIAM
BRAD GERSTNER**

**MATTHEW DITON
ANJALI PRASAD VADILLO**

DEFENDANT BRAD GERSTNER and ALTIMETER CAPITAL MANAGEMENT, LP'S MOTION TO STRIKE FIRST AMENDED COMPLAINT

TENTATIVE RULING:

For the reasons stated below, Defendants Altimeter Capital Management, LP and Brad Gerstner's Motion to Strike Portions of the First Amended Complaint is **GRANTED IN PART AND DENIED IN PART**.

As to Gerstner, the Motion to Strike the prayer for punitive damages is **DENIED**. The Seventh Cause of Action for slander per se remains adequately pleaded, and Defendants' challenge to punitive damages is premised upon the asserted failure of the underlying tort claims. The remainder of Gerstner's Motion to Strike is **MOOT** in light of the Court's ruling sustaining his Demurrer to the claims upon which the remaining requested relief depends.

As to Altimeter, the Motion to Strike the prayer for punitive damages is **DENIED** consistent with the Court's ruling on Altimeter's Demurrer to the Fifth Cause of Action for Promissory Fraud.

Altimeter's Motion to Strike the prayer for reasonable attorney's fees and costs is **MOOT** consistent with the Court's ruling on Altimeter's Demurrer to the Eighth Cause of Action for Failure to Pay Wages Owed at Termination. If that cause of action remains pleaded, Labor Code section 218.5 permits recovery of reasonable attorney's fees and costs in an action for nonpayment of wages.

Altimeter's Motion to Strike the prayer for an accounting is **DENIED**. Although an accounting is generally unavailable where a plaintiff seeks a sum certain (*Civic Western Corp. v. Zila Industries, Inc.* (1977) 66 Cal.App.3d 1, 14), the FAC alleges that Plaintiff is entitled to profit-sharing distributions in addition to a guaranteed minimum compensation amount and that the amount of those distributions has not yet been determined. (FAC, ¶¶ 32, 106.) Altimeter therefore has not established at the pleading stage that an accounting is unavailable as a matter of law.

Altimeter's Motion to Strike the prayer for an equitable remedy to accelerate vesting is **GRANTED WITH LEAVE TO AMEND**. Other than authority that courts have broad discretion in fashioning an equitable remedy (see *Shapiro v. Sutherland* (1998) 64 Cal.App.4th 1534, 1552), Plaintiff fails to provide any authority to support that he is entitled to such relief based on the facts alleged in the FAC. The court therefore is not persuaded that such relief is proper.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, counsel for Defendants shall prepare a written order consistent with the Court's ruling for the Court's signature pursuant to California Rules of Court, rule 3.1312, and provide written notice of the ruling to all parties who have appeared in the action. The Court directs the parties to San Mateo County Superior Court Local Rule 3.403(b)(iv) regarding the wording of proposed orders.

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BRAD GERSTNER

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DEFENDANT ALTIMETER CAPITAL MANAGEMENT, LP'S DEMURRER TO FIRST AMENDED COMPLAINT

TENTATIVE RULING:

For the reasons stated below, Defendant Altimeter Capital Management, LP's Demurrer to the First through Fifth, Eighth, and Ninth Causes of Action in Plaintiff Hab Siam's First Amended Complaint is **SUSTAINED WITH LEAVE TO AMEND** as to the Fourth, Eighth, and Ninth Causes of Action and **OVERRULED** as to the First, Second, Third, and Fifth Causes of Action. (Code Civ. Proc., § 430.10, subd. (e).)

FIRST CAUSE OF ACTION — ANTICIPATORY REPUDIATION

A cause of action for anticipatory repudiation requires: (1) a valid contract; (2) the plaintiff's performance up to the time of repudiation, or a valid excuse for nonperformance; (3) the plaintiff's readiness, willingness, and ability to perform; (4) the defendant's unequivocal repudiation before performance was due; and (5) resulting damages. (Civ. Code, § 1440; *Taylor v. Johnston* (1975) 15 Cal.3d 130; *Daum v. Superior Court* (1964) 228 Cal.App.2d 283.)

Altimeter first argues that Plaintiff has not sufficiently alleged the existence of a contract. As discussed below, however, the FAC sufficiently alleges an oral compensation agreement. Altimeter further argues that Plaintiff has not pleaded an unequivocal repudiation.

The FAC alleges that on January 29, 2024, Altimeter provided Plaintiff with a compensation spreadsheet presented as a final "take it or leave it" position and asserted that Plaintiff was entitled to no more than \$4,562,113 in vested fund profits. (FAC, ¶¶ 96–99.) Taken together, these allegations sufficiently plead, for purposes of demurrer, an unequivocal repudiation of the alleged compensation agreement.

The Demurrer to the First Cause of Action is **OVERRULED**.

SECOND CAUSE OF ACTION — BREACH OF ORAL CONTRACT

The elements of a claim for breach of oral contract are the same as those for breach of a written contract: existence of a contract, plaintiff's performance or excuse for nonperformance, defendant's breach, and resulting damages. (*Stockton Mortgage, Inc. v. Tope* (2014) 233 Cal.App.4th 437, 453.)